2026

(CBCS)

(6th Semester)

ECONOMICS

TWELFTH (B) PAPER

(International Trade)

Full Marks : 75

Time : 3 hours

The figures in the margin indicate full marks for the questions.

(SECTION : A—OBJECTIVE)

(*Marks* : 10)

Tick (✓) the correct answer in the brackets provided : 1×10=10

1. To whom do you attribute the modern theory of international trade?

(a) Bertil Ohlin ( )

(b) P. T. Ellsworth ( )

(c) David Ricardo ( )

(d) Adam Smith ( )

2. According to David Ricardo, trade is possible between two countries when

(a) one country has an absolute advantage in the production of both commodities ( )

(b) one country has an absolute advantage in the production of both commodities but a comparative advantage in the production of one commodity over the other country ( )

(c) one country does not have any advantage in the production of both commodities ( )

(d) a country does not have any line of production ( )

3. The income terms of trade is

(a) the net barter terms of trade of a country multiplied by its export volume index ( )

(b) the ratio between the quantities of a country's imports and exports ( )

(c) the ratio between the price of a country's export goods and import goods ( )

(d) None of the above ( )

4. The ratio between the quantities of a country's imports to its exports is known as

(a) commodity or net barter terms of trade ( )

(b) single factorial terms of trade ( )

(c) gross barter terms of trade ( )

(d) double factorial terms of trade ( )

5. When a uniform rate of duty is imposed on all similar commodities irrespective of the country from which they are imported, it is called

(a) single-column tariff ( )

(b) protective tariff ( )

(c) conventional tariff ( )

(d) double-column tariff ( )

6. Ad valorem tariffs are

(a) duties levied per physical unit of the commodity imported ( )

(b) duties levied as a fixed percentage of the value of the imported commodity ( )

(c) duties which tend to vary with the prices of the imported commodities ( )

(d) None of the above ( )

7. Balance of trade includes

(a) both visible and invisible items ( )

(b) invisible items only ( )

(c) visible items only ( )

(d) None of the above ( )

8. Devaluation encourages

(a) exports ( )

(b) imports ( )

(c) both imports and exports ( )

(d) None of the above ( )

9. The largest destination of India's export at present is

(a) China ( )

(b) Saudi Arabia ( )

(c) UAE ( )

(d) USA ( )

10. The most important item of import for India in terms of value is

(a) mobile handset ( )

(b) electronics ( )

(c) gold ( )

(d) POL ( )

(SECTION : B—SHORT ANSWERS)

(*Marks* : 15)

Write short notes on the following : 3×5=15

UNIT—I

1. Comparative cost theory

Or

2. Distinction between inter-regional trade and international trade

UNIT—II

3. Commodity terms of trade

Or

4. Dynamic gain from trade

UNIT—III

5. Optimum tariff

Or

6. Free trade

UNIT—IV

7. Balance of payments disequilibrium

Or

8. Balance of trade

UNIT—V

9. Partial convertibility of the rupee

Or

10. Full convertibility of the rupee

(SECTION : C—DESCRIPTIVE)

(*Marks* : 50)

Answer the following questions : 10×5=50

UNIT—I

1. Explain the absolute advantage theory of international trade as propounded by Adam Smith. 10

Or

2. Explain the Heckscher-Ohlin theory of international trade in terms of factor abundance in physical terms.

UNIT—II

3. Discuss the various measurements of gains from trade. 10

Or

4. Examine the theory of reciprocal demand introduced by J. S. Mill.

UNIT—III

5. Discuss the various types of quotas. 10

Or

6. Show with the help of partial equilibrium diagram the price, protective, consumption, revenue and redistribution effects of a tariff.

UNIT—IV

7. Define balance of payments. What are the various components of balance of payments? 2+8=10

Or

8. Discuss various methods for correcting disequilibrium in the balance of payments. 10

UNIT—V

9. Discuss various changes in the composition and direction in India's foreign trade. 10

Or

10. What are the main causes of persistent deficit in India's balance of payments?

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